SHOPSMART RETAIL LTD. EXECUTIVE REPORT

Analyst: Tessy Odiley

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ANALYSTLAB AFRICA

ShopSmart Retail Ltd. Executive Report

Analysis Period: January – December 2025

Executive Summary

- Revenue increased by 2% from January to December 2025, with a sharp decline in January and recovery from February.
- Beauty products are the highest selling products, contributing to 23% of revenue.
- Groceries contribute 21% of revenue, and the South region contributes 32% of revenue.
- Stores in the West region underperformed relative to other regions and may benefit from targeted marketing support.
- Late deliveries are increasing return rates for beauty products, warranting further investigation.

A. Introduction

ShopSmart Retail Ltd. has commissioned an analysis of its sales, inventory, orders, and products data for multiple retail store locations across Nigeria.

Goals:

- To identify sales fluctuations
- To determine inventory shortage
- To assess increasing product return rates

This report summarizes key findings from January to December 2025 and provides actionable recommendations to support growth and efficiency.

B. Key Findings

1. Revenue Trends: A 2% increase from January to December 2025, with a sharp decline in Jan and recovery in Feb

Business Question: Which month generated the highest revenue, and were there any sales fluctuations during the year?

Insights:

- **Revenue increase:** A 2% increase in revenue from January to December 2025, indicating successful marketing campaigns.
- **Decline in sales:** A sharp decline in revenue was observed from January to February. One possible explanation is reduced consumer spending following the holiday season; however, additional market data would be required to confirm this.

- **February-March Recovery:** Revenue recovered after February and stabilized throughout the year, with December being the month with the highest revenue (₦ 599,833,113.40). This is possibly due to customers often spending the most money during the holiday season, especially in December. Further data analysis required to confirm this.

Recommendation: Create discounts and promotions to accommodate customer spending habits after the holiday season, balancing profit while making things affordable for customers.

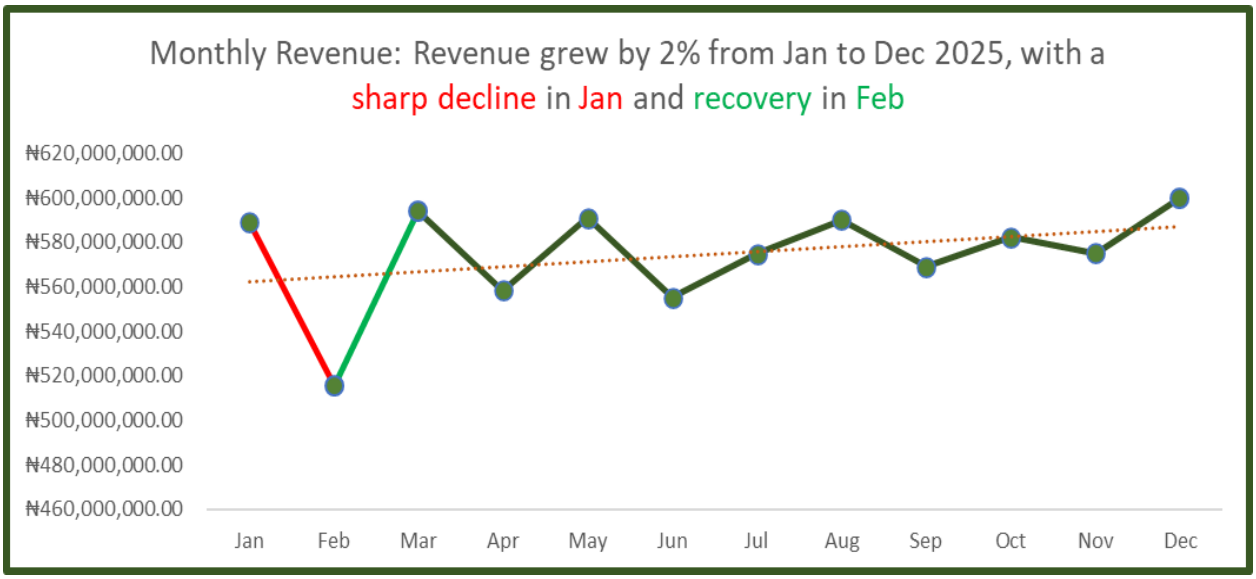


Figure 1: Revenue increased by 2% in 2025, with a sharp decline in January and Recovery in February.

2. **Store Location Performance: Stores in Lagos, Oyo, and Abuja outperform other store locations**

Business Question: Which stores performed the best, and which stores have low inventory?

Insights:

- **Store performance:** The Lagos 3 and 4 stores outperformed all other stores, generating the highest revenue. Meanwhile, the Abuja 4 and Kano stores fell behind.



Figure 2: The Lagos 3 and 4 stores outperformed all other stores, generating the highest revenue.

- **State and regional store performance:** Stores in the south (32%) and east (28%) generated the highest revenue. Also, Lagos, Abuja, and Oyo states generated the most revenue, while Enugu, Kano, and Anambra lagged behind. This is potentially because Lagos, Abuja, and Oyo states are bigger and more popular states with a larger customer base. Further analysis required to verify this.

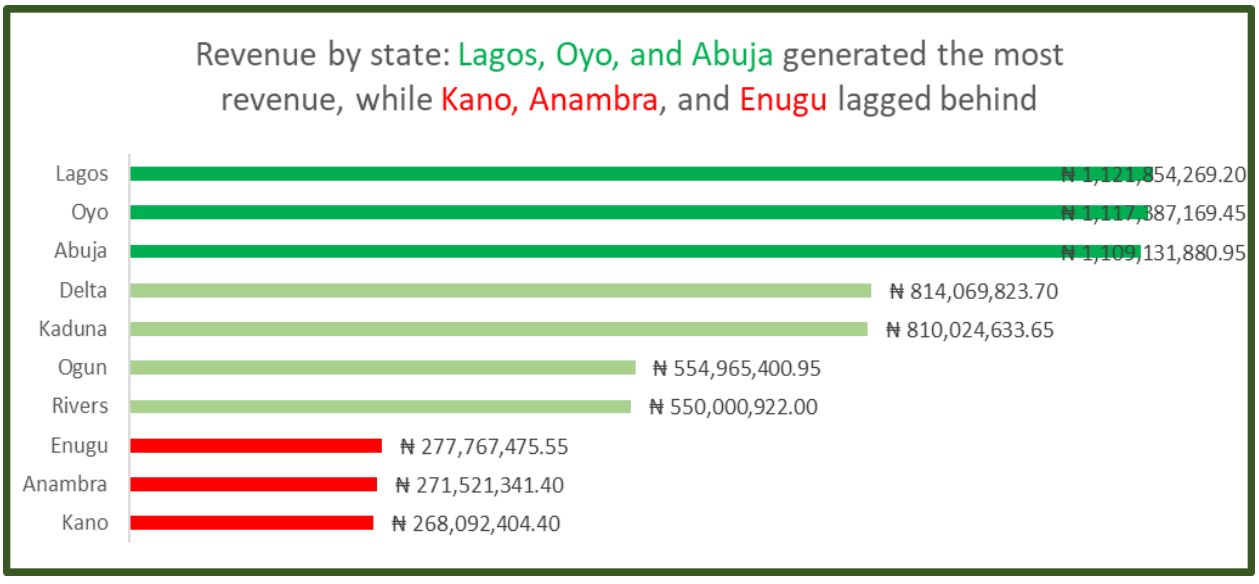


Figure 3: Lagos, Abuja, and Oyo states generated the most revenue, while Enugu, Kano, and Anambra lagged behind.

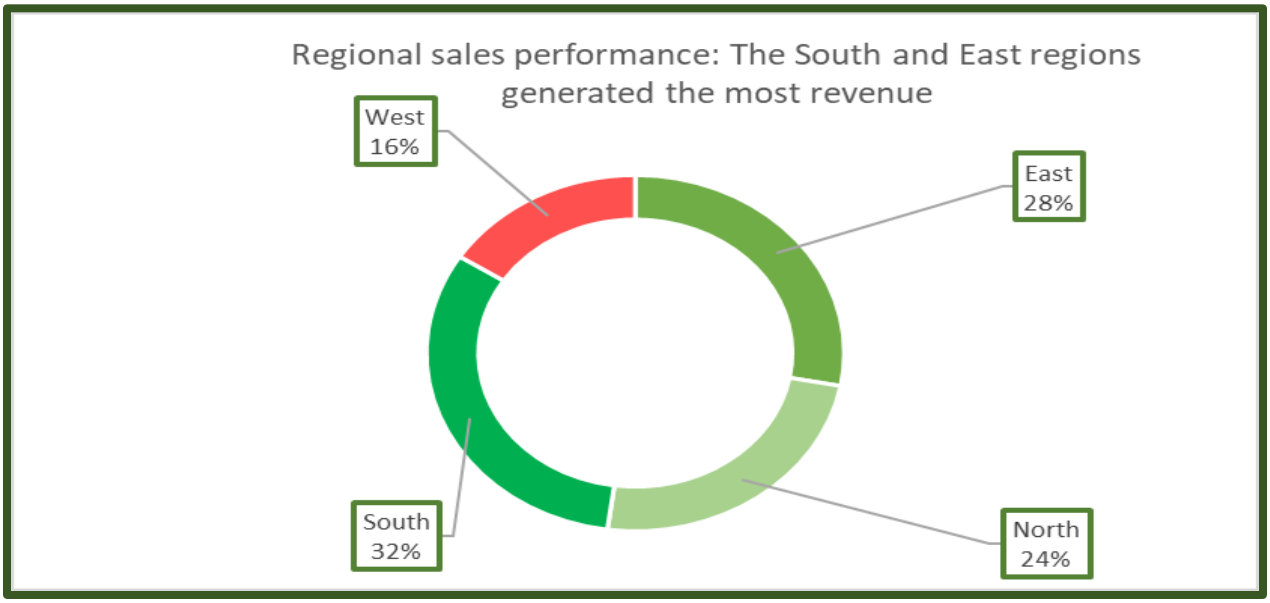


Figure 4: Stores in the south and east generated the highest revenue.

- **Inventory availability:** Stores in Kaduna experience the most product shortages, and stores in Lagos, Anambra, and Kano have the least product shortages.

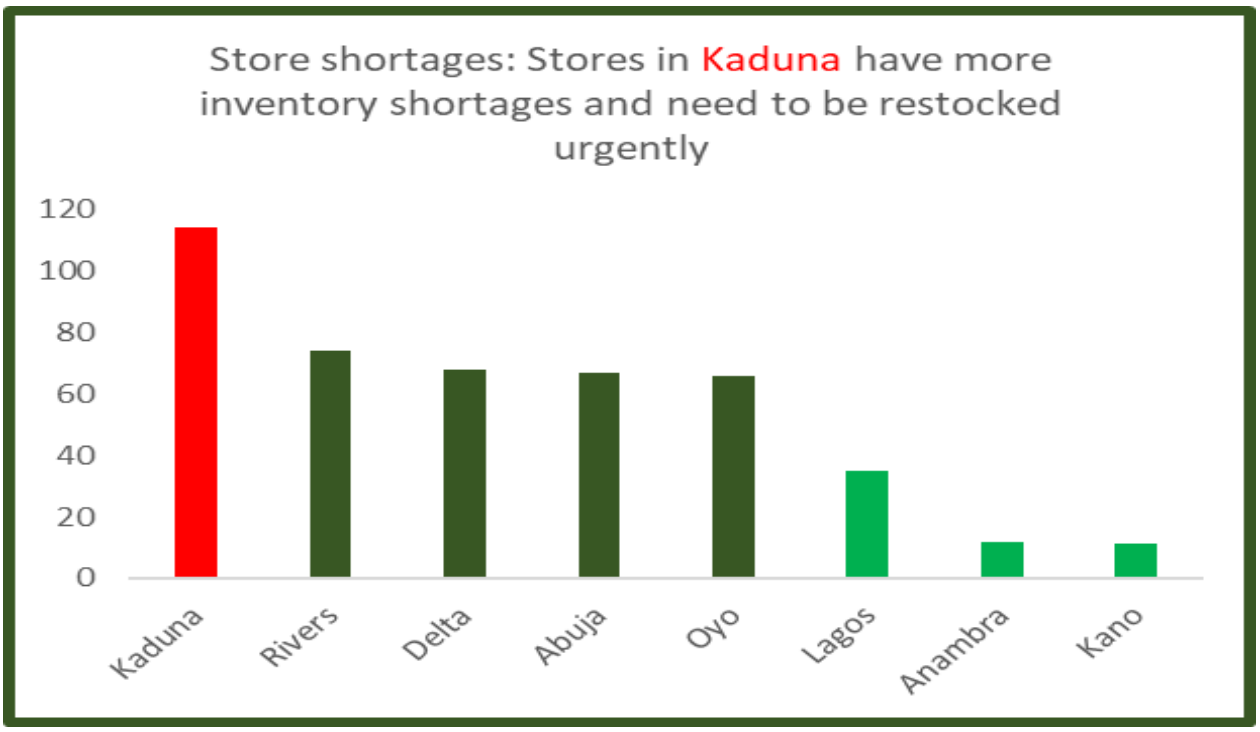


Figure 5: Stores in Kaduna experience the most product shortages.

Recommendation: Prioritize restocking inventory for Kaduna stores to reduce the risk of running out of stock and improve sales opportunities in high-demand categories. Increase marketing for stores in low-performing regions to attract more customers.

3. **Strong vs Weak products: Beauty and grocery products are bestsellers, with Home item 400 and grocery item 115 leading in revenue**

Business Question: Which products sell the most, and which require further investment?

Insights:

- Bestselling product categories: Beauty and grocery products contribute to 23% and 21% of revenue generated by ShopSmart Retail Ltd., respectively.

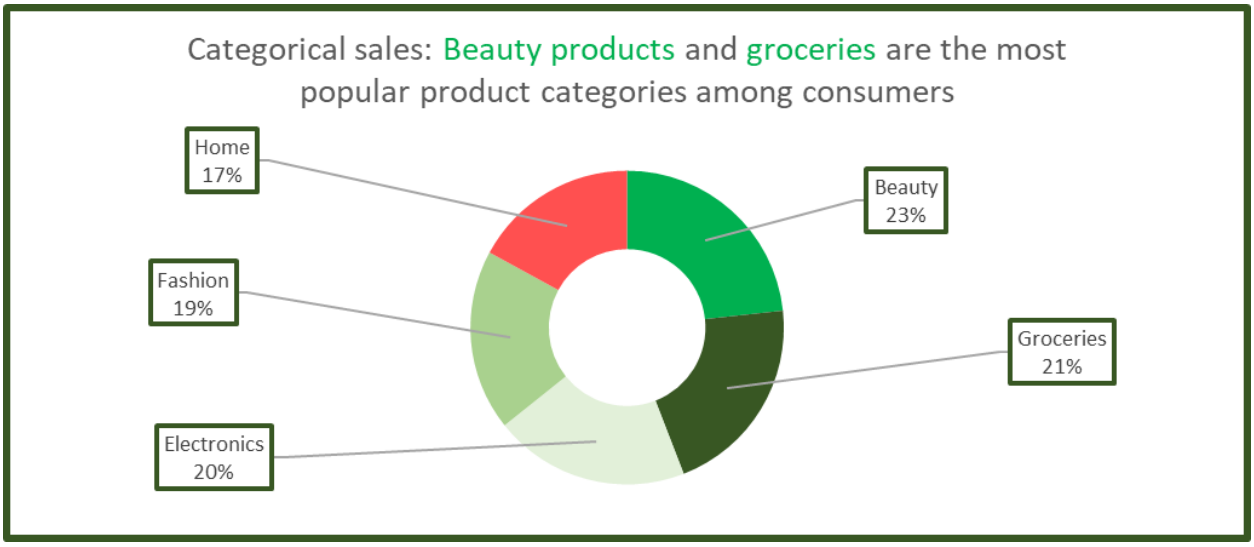


Figure 6: Beauty and grocery products are the highest selling product categories.

- Top 10 products: Home item 400 and Grocery item 115 are the overall bestselling products across store locations.

Table 1: Home item 400 and Grocery item 115 are the overall bestselling products.

Row Labels	Sum of Total Revenue
Home Item 400	₦ 19,946,121.75
Groceries Item 115	₦ 19,448,056.90
Groceries Item 331	₦ 19,247,571.00
Home Item 458	₦ 18,657,708.30
Beauty Item 156	₦ 18,259,608.00
Fashion Item 438	₦ 17,864,347.50
Home Item 96	₦ 17,797,795.15
Electronics Item 291	₦ 17,781,848.00
Groceries Item 329	₦ 17,643,408.10

Beauty Item 294	₦	17,579,270.90
Grand Total	**₦**	**184,225,735.60**

- Bottom 10: Beauty item 264 and Home item 48 generated the least revenue during the analysis period.

Table 2: Beauty item 264 and Home item 48 generated the least revenue.

Row Labels	**Sum of Total Revenue**	
Beauty Item 264	₦	8,263,900.00
Home Item 48	₦	8,964,354.55
Groceries Item 470	₦	9,136,475.30
Beauty Item 411	₦	9,282,184.05
Home Item 412	₦	9,390,891.55
Home Item 367	₦	9,699,058.75
Electronics Item 34	₦	9,781,029.35
Electronics Item 330	₦	9,897,572.25
Beauty Item 124	₦	9,973,385.00
Groceries Item 117	₦	10,134,237.20
Grand Total	**₦**	**94,523,088.00**

- Inventory availability: Groceries have the lowest inventory shortages, while electronic and home products have the highest inventory shortages.

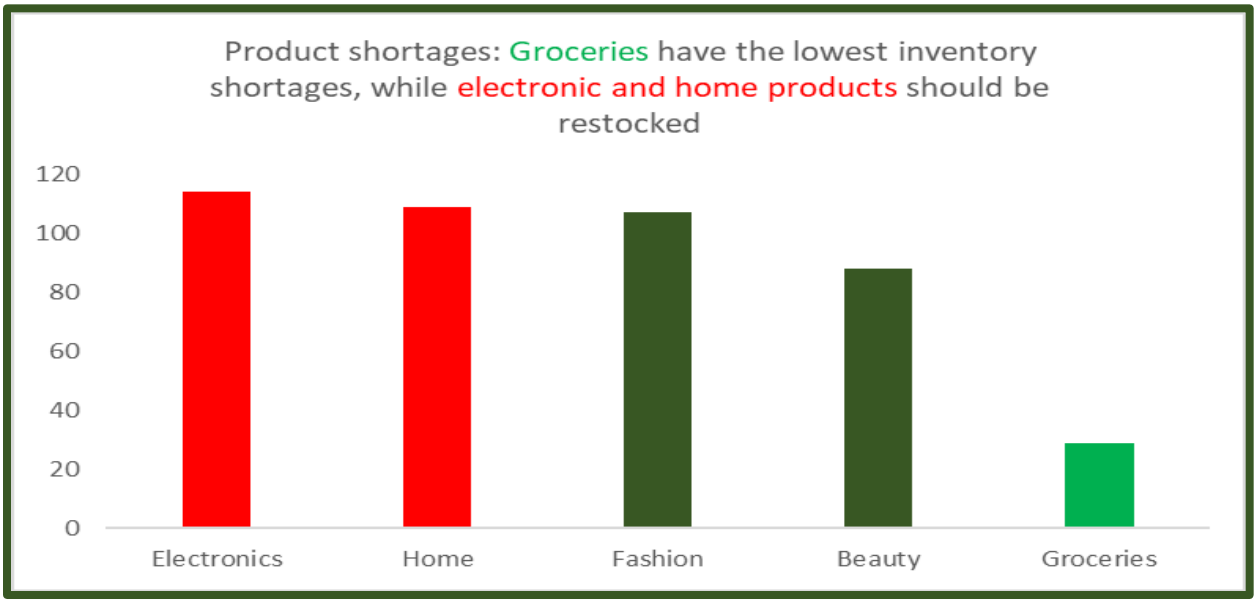


Figure 7: Groceries have the lowest inventory shortages, while electronic and home products have the highest shortages.

Recommendations: Management should invest in restocking electronic and home products, and focus on creating marketing campaigns for low-selling products, such as Beauty item 264 and Home item 48.

C. Recommendations and Impact

a) **Invest in marketing campaigns and promotional bundles:** The marketing team should create discounts and promotions to accommodate customer spending habits after the holiday season. They could consider bundling low-performing products (e.g., Beauty item 264, home items, and fashion products) with high-performing ones (e.g., Home item 400 and Grocery item 115) to give customers value for their money. This will allow ShopSmart to maintain balance between profitability and affordability for customers.

b) **Restock stores and improve visibility for low-performing stores:** The stores in Kaduna should be adequately restocked to meet customer demand. Increase marketing efforts for stores in low-performing regions (e.g., Kano, Enugu, and the West) to attract more customers.

c) **Inventory availability:** Due to customer demand, management should ensure that the top 10 bestsellers, beauty products, and groceries should always be available to maximize profitability.

Implementing these recommendations will enable ShopSmart Retail Ltd. to sustain and improve revenue growth, meet customer demand, and improve store visibility, thereby attracting more customers.

D. Conclusion and Further Analysis

This analysis demonstrates that the performance of ShopSmart Retail Ltd stores may be linked to inventory availability, holiday spending habits, marketing efforts, and regional conditions. Acting on these insights and recommendations will allow ShopSmart to maximize revenue and increase store and product visibility. Further analysis is required to evaluate customer demographic information based on gender, age, and location in relation to sales, revenue generation, inventory effects, and return rates. Additionally, a review in six months should be considered to evaluate the results of implementing these insights.

E. Dashboard Screenshot



Figure 8: ShopSmart Retail Ltd. Executive Dashboard Screenshot.

F. Limitations

- In the returns table, the quantity returned was not indicated. Additionally, many orders that were cancelled were presented in the dataset. To calculate the return rate, cancelled orders were excluded to ensure accuracy.
- Store locations were assigned numbers (e.g., Lagos 1–4) to prevent confusion because certain cities have more than one store, and using store IDs would be inconvenient and confusing.
- The supplier table did not have a foreign key in the other tables, hindering the creation of relationships. However, the supplier names correspond to brand name.

G. Assumptions

- Discounts are usually given as percentages by retail stores, so all the discounts listed in the spreadsheet were converted to percentages.
- One possible explanation for the sharp decline in revenue from Jan to Feb is reduced consumer spending following the holiday season; however, additional market data would be required to confirm this.

H. Risks and Opportunities

- **Risk:** According to the data, customers paid shipping costs even when they made in-store purchases. This presents a significant risk, as customers may view their purchases as being too expensive or that ShopSmart Retail Ltd. may be inflating prices, which could result in the loss of customers. This warrants further investigation to determine if customers are paying in-store shipping costs for every product or only for products that require delivery, such as electronics and heavy appliances.
- **Opportunity:** Returns rates are the highest within the beauty and home products categories. Unironically, the beauty category is also the highest-selling category. Late delivery is the main reason customers cited for their decision to return beauty products. The reason for late deliveries of beauty products should be investigated further. Due to the high demand of beauty products, reducing return rates could further improve sales and increase revenue, as well as reduce waste. This presents ShopSmart with an opportunity for growing revenue and improving customer satisfaction.

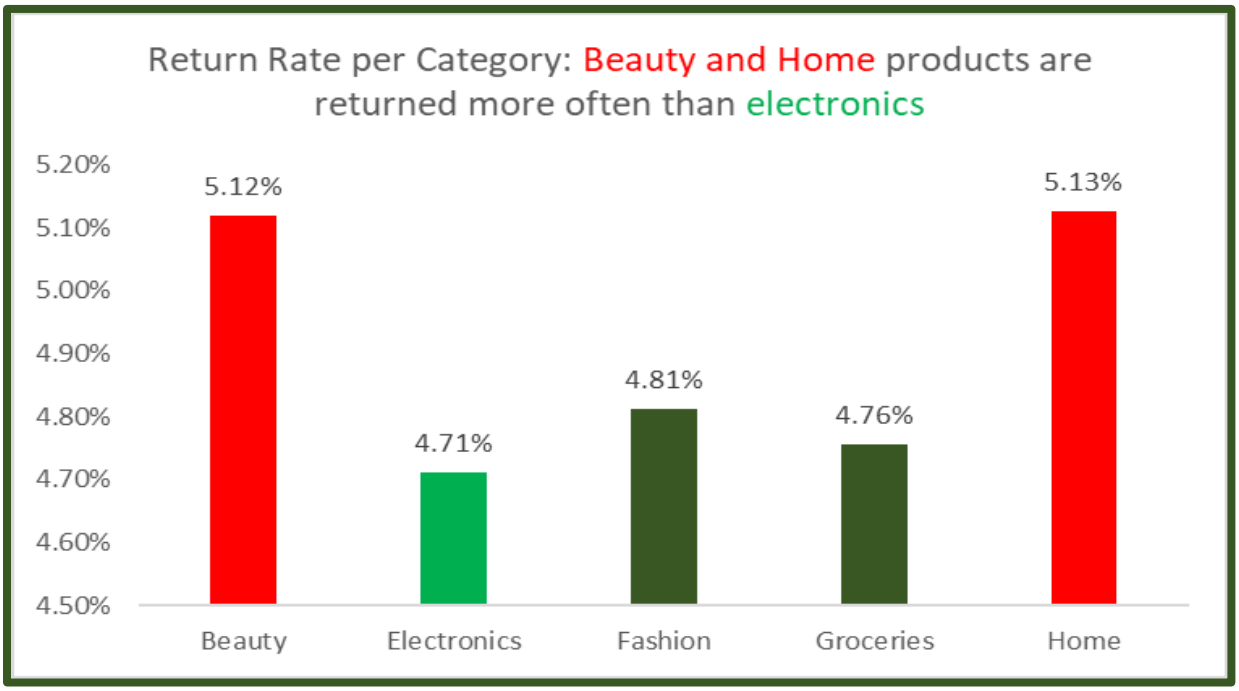


Figure 9: Returns rates are the highest within the beauty and home products categories.

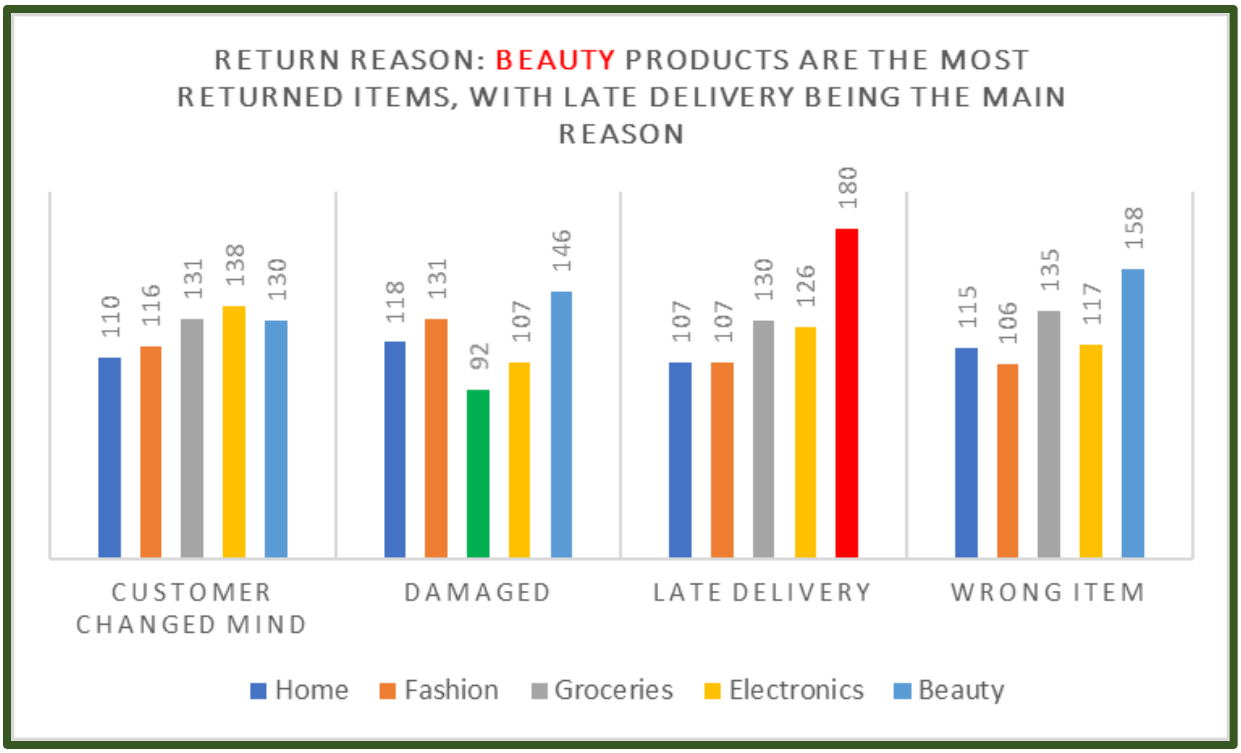


Figure 10: Late delivery is the main reason customers cited for their decision to return beauty products.

I. Project Brief Answers

PART 1 — Data Understanding

Project Overview, Methodology, Data Cleaning and Preparation, Assumptions and Limitations, Answers and Key Findings, Recommendations and Conclusion, Files and Reproducibility

1. How many datasets were provided?

Nine datasets were provided, containing supplier, store location, returns, products, orders, order items, inventory, employees, and customer information.

2. What does each dataset represent?

- The Suppliers dataset displays the product suppliers names, their contact information, and location. The suppliers are the brands that provide the products.
- The Stores dataset contains store location information, such as region, state, and city, as well as store name information.
- The Returns dataset shows the returned items' return ID, date, reason, and the refund amount the customers received.
- The Products dataset provides information about the product names, brands, categories, cost price, and selling price.

- The Orders dataset provides detailed information about each order made by customers, such as order date, product quantity, unit price, and shipping cost. It also gives the order status, sales channel, and payment method for each order.
- The Order Items table is an extension of the Orders dataset, giving information on product quantities, discounts, and total prices.
- The Inventory dataset shows how much product stock is remaining and how often the products are reordered.
- The Employees table provides information about employees, including their names, roles, hire dates, and salaries.
- The Customer dataset displays customer information, such as names, contact information, ages, and membership levels.

3. **Identify the Primary Key of each table.**
4. **Identify possible Foreign Keys.**
5. **Draw the relationship between the tables.**

Table 3: Showing primary keys, foreign keys, and relationships between dataset tables. Answers to question 3, 4, and 5.

Table	Primary Key	Foreign Keys	Relationships
Suppliers	Supplier_ID	None	NONE
Stores	Store_ID	None	Orders Inventory Employees
Returns	Return_ID	Order_ID	Orders
Products	Product_ID	None	Orders Order Items Inventory
Orders	Order_ID	Customer_ID Product_ID Store_ID	Customers Products Stores
Order Items	Order_Item_ID	Order_ID Product_ID	Orders Products
Inventory	Inventory_ID	Product_ID Store_ID	Products Stores
Employees	Employee_ID	Store_ID	Stores
Customer	Customer_ID	None	Orders

PART 8 — Business Questions

1. **Which product generated the highest revenue?**

Home Item 400 generated the highest revenue.

2. **Which store performed best?**

The store that demonstrated the best performance was the STR015 (Lagos 3) store.

3. **Which category sells the most?**

Beauty products are the most popular among customers.

4. **Which month generated the highest revenue?**

The highest amount of revenue was generated in December, 2025.

5. **Which customers spend the most?**

Male customers spend more than female customers, and customers in the Gold membership tier generated the highest revenue.

6. **Which products are frequently returned?**

Home and beauty products have the highest return rates at 5.13% and 5.12%, respectively.

7. **Which supplier supplies the highest number of products?**

The Williams Group supplied the highest number of products (213 products), but Martinez Ltd. generated the highest amount of revenue (₦ 29,879,705.60).

8. **Which stores have low inventory?**

The Kaduna 2, Abuja 4, Enugu, Ibadan 3, and Abuja 1 stores have the low inventory.

9. **Which region performs best?**

Stores in the southern region displayed the best performance during the analysis period, with the East coming in second.

10. **Which product category should management invest in?**

Beauty, Home and Fashion. Management should invest in beauty products, as these are the most popular products among customers. Therefore, it is important to ensure that stock is always available. However, home and fashion products are the lowest-selling product categories. As a result, management should invest in improving marketing campaigns to draw customers attention toward these product categories.